

taxes while the money under management remained *sticky* and eligible for fees forever. You could be rich, stay rich, borrow at will, never come out of pocket, never give up your piece of the pie and yet still be able to pay for whatever you wanted.²⁸⁵

What do increased fees and higher retention rates do for the client? Very little. But they allow the brokerage firm to fully monetize you and your assets by selling products and services that are both riskier and not always in your best interest.

I have never seen the Peloton founder's portfolio, but I can guess what it did and did not have: Lots of securities lending against that PTON stock, with no collars or hedges to protect against a fall in price. A highly concentrated position (aka, single stock risk), and little or no diversification.

These things keep happening for the same reasons. Inexperienced recipients of a sudden cash windfall make many of the same errors. And it's not just lottery winners and athletes that deal with this—anyone who sold a business or enjoyed their company's stock surging, or had an increase in wealth due to an IPO, has faced these issues.

A sudden influx of cash is about to become a generational problem. Why? Due to what some are calling the "Great Wealth Transfer."²⁸⁶ Some estimates are as high as \$84.4 trillion in assets will be passed down by 2045.²⁸⁷ Millennials and Gen Z are the generations that will inherit that cash; trading meme stocks on Robinhood is a suboptimal way to manage those trillions.

There are lessons here for anyone who gets a windfall. It doesn't matter if you are the beneficiary of a modest inheritance, or if the NY Mets signed you to a 15-year, \$765 million contract: You can better manage sudden wealth with a few simple guidelines.